

genes, so we do with ideas. An academic who became famous for espousing an opinion is not going to voice anything that can possibly devalue his own past work and kill years of investment. People who switch parties become traitors, renegades, or, worst of all, apostates (those who abandoned their religion were punishable by death).

Computing Instead of Thinking

There is another story of probability other than the one I introduced with Carneades and Cicero. Probability entered mathematics with gambling theory, and stayed there as a mere computational device. Recently, an entire industry of “risk measurers” emerged, specializing in the application of these probability methods to assess risks in the social sciences. Clearly, the odds in games where the rules are clearly and explicitly defined are computable and the risks consequently measured. But not in the real world. For mother nature did not endow us with clear rules. The game is not a deck of cards (we do not even know how many colors there are). But somehow people “measure” risks, particularly if they are paid for it. I have already discussed Hume’s problem of induction and the occurrence of black swans. Here I introduce the scientific perpetrators.

Recall that I have waged a war against the charlatanism of some prominent financial economists for a long time. The points are as follows. One Harry Markowitz received something called the Nobel Memorial Prize in Economics (which in fact is not even a Nobel Prize as it is granted by the Swedish central bank in honor of Alfred Nobel – it was never in the will of the famous man). What is his achievement? By creating an elaborate method of computing *future* risk if one knows *future* uncertainty; in other words if markets had clearly defined rules – which is clearly not the case. Now I explained the point to a cab driver who laughed at the fact that someone ever thought that there was any scientific method to understand markets and predict their attributes. Somehow when one gets involved in financial economics, owing to the culture of the field, one becomes likely to forget these basic facts.

An immediate result of Dr. Markowitz’s theory was the near collapse of the financial system in the summer of 1998 (as we saw in Chapters 1 and 5) by Long Term Capital Management (“LTCM”), a Greenwich, Connecticut fund that had for principals two of Dr. Markowitz’s colleagues, “Nobel” as well. They are Drs. Robert Merton (the one in Chapter 3 trouncing Shiller) and Myron Scholes. Somehow they thought they could scientifically “measure” their risks. They made absolutely no allowance in the LTCM episode for the possibility of their not understanding markets and their methods being wrong. That was not a hypothesis to be considered. I happen to specialize in profiting from the black swans and the breakdown of the system, and make bets against financial economists. Suddenly I started getting some irritating fawning respect, along with paychecks from the market. Drs. Merton and Scholes helped put your humble author on the map and caused the birth of your humble crisis-hunter’s firm, Empirica – as capital started flowing to people who did the exact opposite of what they did for a living.

One would think that when scientists make a mistake, they develop a new science that incorporates what has been learned from it. When academics blow up trading, one would expect them to integrate such information in their theories and make some heroic statement to the effect that they were wrong, but that now they have learned something about the real world. Nothing of the sort. Instead they complain about the behavior of their counterparts in the market who pounced on them like vultures, thus exacerbating their downfall. Accepting what has happened, clearly the courageous thing to do, would invalidate the ideas they have built throughout an entire academic career. All of the principals who engaged in a discussion of the events partook of a masquerade of science by adducing *ad hoc* explanations and putting the blame on a rare event (problem of induction: how did they know it was a rare event?). They spent their energy defending themselves rather than trying to make a buck with what they learned. Again compare them with Soros who walks around telling whomever has the patience to listen to him that he is fallible. My lesson from Soros is to start every meeting at my trading boutique by convincing everyone that we are a bunch of idiots who know nothing and are mistake prone, but happen to be endowed with the rare privilege of knowing it.